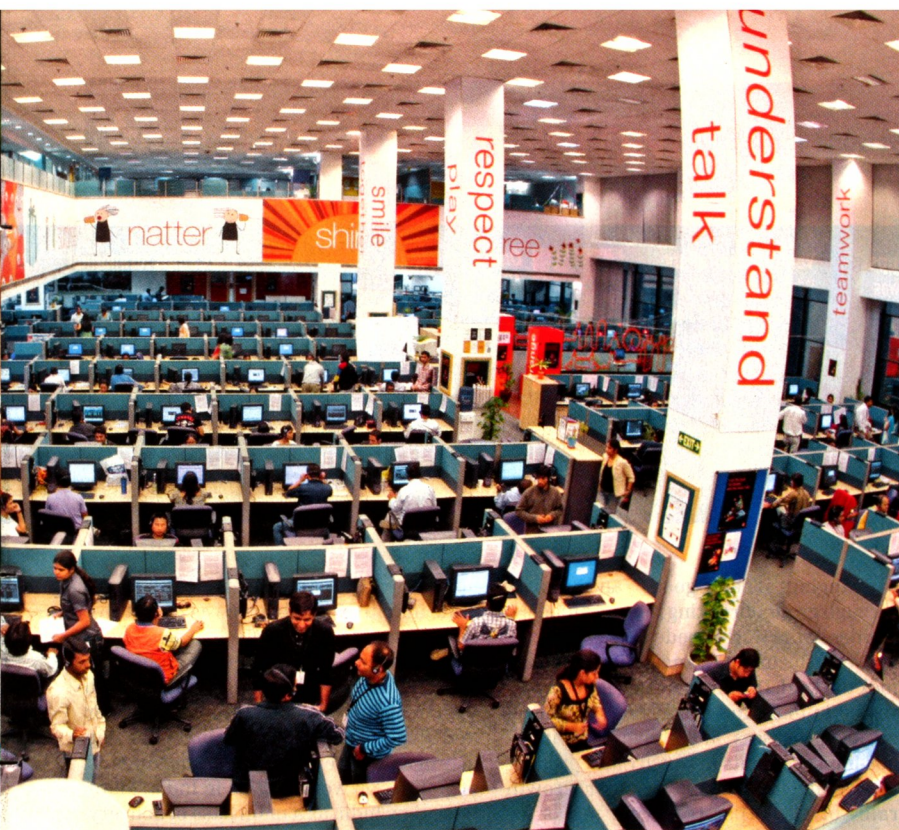




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Business Process Outsourcing (BPO) industry. Its success demonstrates how critical good policy can be in helping an industry grow.

● **Global business culture** It is one of the key reasons for IT sector's success. Global clients found it easy to do business with Indian companies owing to shared belief systems, legal frameworks, language and practices. This mutual understanding gave India a competitive advantage over China. India's poor infrastructure does still pose a challenge, and so does the political climate, but overall, the IT industry blended seamlessly into the global market.

● **Private sector in education system** Indians have always realised the value of education, and the private sector has played a critical role in furthering higher education. Although education is dominated by the Government, studies indicate that up to 27 per cent of Indian students are educated in private schools. Today, more than 80 per cent of engineering colleges in India are privately run. Over the last 10 years, these institutions have improved in quality, and have produced a large number of graduates to sustain the growth of the IT sector. More importantly, they have proven that scale and quality are not opposed to each other.

In retrospect, three distinct phases of growth are evident in the Indian IT industry: **The Nascent Phase (1991-1997)** Although the industry predated it in 1991, liberalisation enabled its growth. With the dismantling of the Licence Raj, a reduction of import duties, tax breaks, and relaxed rules for foreign direct investment, the IT industry had the catalysts needed to trigger explosive growth. Aided by telecom reform and the rise of the Internet, it grew at a rate of 60-70 per cent, delivering turnkey projects for its global clients predominantly through application development and maintenance. It pioneered the global delivery model and embraced global processes and standards like the ISO and capability maturity model to deliver repeatable, predictable results to its customers.

The Boom Phase (1997-2002) As the year 2000 (Y2K) approached, the world feared a potential Armageddon when the year changed to "00". The world needed skilled engineers to provide Y2K solutions, and the IT industry seized this opportunity. This period transformed the industry into a serious player in the global IT arena.

Quick on the heels of the Y2K success, the dotcom boom presented another huge opportunity. The world had a new way of

WE SHOULD BE MINDFUL OF THE fact that the danger of a downturn has not passed yet, and the situation could change.

N.R. NARAYANAMURTHY,
INFOSYS FOUNDER

Chipping IN

2000 Raman Roy starts a BPO firm, Spectramind. Two years later, Azim Premji's Wipro buys it for \$175 mn.

2002 Export earnings through BPO services touch \$1.6 billion.

2003 As many as 25,000 NRI techies return to India to explore better job opportunities.

2004 The Government's Broadband Policy sets a target of 20 million connections by 2010.

2005 HCL launches PC to provide low-cost computing at less than Rs 10,000.

2008 Global downturn hits IT sector; TCS lays off 500, IBM announces 700 job cuts and Patni Computer Systems lays off 400.

2009 The Satyam fraud unearthed; it amounts to Rs 7,136 crore. Tech Mahindra acquires Satyam for \$578 mn; renames it Mahindra Satyam.